AL ELITE

FREE WORKSHEET · FOR SUBCONTRACTORS

Factoring Cost Calculator & Due Diligence Checklist

Work out what factoring really costs on one of your invoices, ask the nine questions that expose hidden fees, and compare it with a line of credit or loan.

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Is factoring the right tool?

- ☐ Subcontractor with creditworthy GCs
- ☐ Growing faster than cash allows
- ☐ Margins can absorb a few percent
- ☐ Customers often dispute invoices (caution)
- ☐ GCs pay reliably but in 45–90 days
- ☐ Can't yet qualify for a bank line
- ☐ Most billing is retainage-heavy (caution)
- ☐ Would need to factor everything forever (caution)

Fits when

The top five boxes are ticked and the bottom three aren't.

Think twice when

Thin margins, frequent disputes or retainage-heavy billing. Factoring speeds up cash; it doesn't fix pricing.

Cost calculator

Fill in one real invoice and the factor's quoted schedule. Fees are usually per 30 days, sometimes in 10- or 15-day increments after the first period.

A	Invoice amount	
B	Retainage withheld (usually excluded)	
C	**Factorable amount = A − B**	
D	Advance rate (%) Often 70–90%	
E	**Cash up front = C × D**	
F	Fee for first 30 days (%)	
G	Fee per extra increment (%) and increment (days)	
H	Days until the customer pays	
I	**Total fee (%) = F + G × extra increments**	
J	**Total fee ($) = C × I**	
K	**You receive in total = C − J**	

Example

$60,000 invoice, 85% advance, 2.5% for 30 days + 1% per 10 days: $51,000 up front; fee $1,500 at 30 days, $3,300 at 60, $5,100 at 90.

Due diligence questions

- [ ] What's the advance rate, and is it calculated before or after retainage?
- [ ] How are fees calculated, and in what time increments?
- [ ] What other fees apply: setup, per-invoice, wire, monthly minimum, termination?
- [ ] Recourse or non-recourse, and what exactly does non-recourse cover? (Usually not disputes.)
- [ ] Do I have to factor all invoices, or can I choose (spot factoring)?
- [ ] How long is the contract, and how do I end it?
- [ ] How do you handle lien waivers, joint checks and pay applications?
- [ ] How quickly do you fund after verification?
- [ ] How do you notify my GC (notice of assignment)?

Factor	Advance %	30-day fee	Other fees	Recourse?	Contract term
Factor 1					
Factor 2					
Factor 3					

Compare with the alternatives

Option	Cost for this job	Speed	Depends on	Notes
Factoring				
Line of credit				
Working capital loan				
Supplier terms / mobilization payment				

Rule of thumb

Recurring short gaps: a line of credit is usually cheapest if you qualify. Occasional large invoices: factoring scales with billing. Never factor to cover a business that isn't profitable.

DECISION AND NOTES

Ready to compare contractor business loans?

alelitefinancing.com/contractor-business-loans/ reaches lenders who work with contractors in your state. Or call (888) 968-0079.